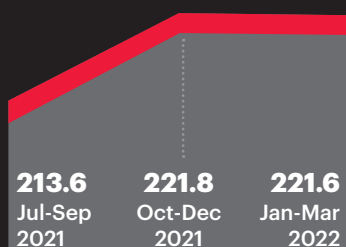


Ecstasy and Agony

Netflix saw its global user base rise in October-December 2021, but saw a marginal fall in January-March 2022...

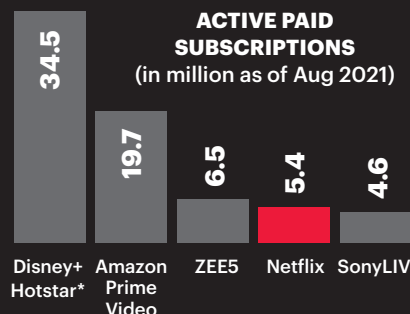
SUBSCRIBER BASE
(in million)



Source: Company reports

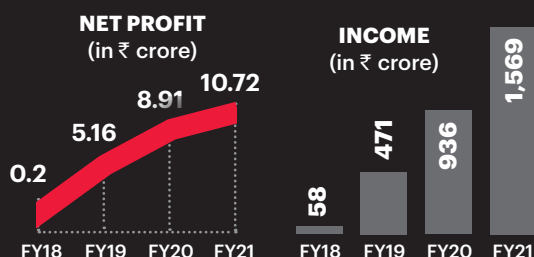
...While India, too, hasn't been a cause for much cheer

ACTIVE PAID SUBSCRIPTIONS
(in million as of Aug 2021)



*Disney+ Hotstar reported Q2 global numbers of 50.1 million subscribers across the world in May 2022; sources estimate that 85-90 per cent will come from India
Source: Ormax Media

Netflix's India income is improving but profits remain small



Source: Ministry of Corporate Affairs

A Costly Proposition

ANNUAL SUBSCRIPTION PLANS IN INDIA

Netflix	₹1,788-7,788
Amazon Prime Video	₹1,499
Disney+ Hotstar	₹899-1,499
SonyLIV	₹999
ZEE5	₹599

Note: As of May 2022; Source: Industry

GRAPHICS BY **TANMOY CHAKRABORTY**

any other OTT player because the subscription market in India itself is small. "We only have 40-50 million paying OTT subscribers in a market with 500 million broadband users. That's only 10 per cent." Sodhi, who is the former head of SonyLIV, says Netflix is in a much better position because it is the single-largest revenue player with a 30 per cent share of the SVOD (subscription video on demand) market. "In a market with 90 million subscriptions (stud-

ies indicate that one paying Indian OTT subscriber pays for around 2.4 OTT services), they have 6 million subscribers who are paying an average of four to five times what they pay other OTTs," he says.

NETFLIX DOES ACCOUNT for a third of India's SVOD market with a revenue of ₹1,569.35 crore in FY21, which is a 67 per cent jump over the

previous fiscal's revenue. But it also saw an equal rise in expenditure to ₹1,551.84 crore in FY21. Also, its net profit has not kept pace with revenue growth, growing from ₹8.91 crore in FY20 to ₹10.72 crore in FY21.

Hastings said in December 2019 that the firm planned to invest ₹3,000 crore on original Indian content over two years. London-based global research agency Omdia's 'India: Online Video Trends' report pegs Netflix's investment to create